

Dealer Quote Sheet — Boreal-linked and Helios-linked Structured Positions

Prepared by Market Desk

20 June 2007

1. Quote Comparison Table

Position	Model mark	Dealer A	Dealer B	Large-block indication	Desk note
Helios 2007-B Senior	98.5	96.8	95.9	93.5	Still saleable below \$10m
Helios 2007-B Mezz	91.0	85.5	Indication only	78.0	Discount widening
Boreal Mortgage Warehouse Note	94.0	87.0	No firm bid	No firm bid	Dealer balance-sheet concern
Weak Pool Sleeve	89.0	72.0	No firm bid	No firm bid	Opaque collateral

Note: Dealer indications reflect intra-day color and may vary with trade size, collateral transparency, and seller urgency.



Desk Note

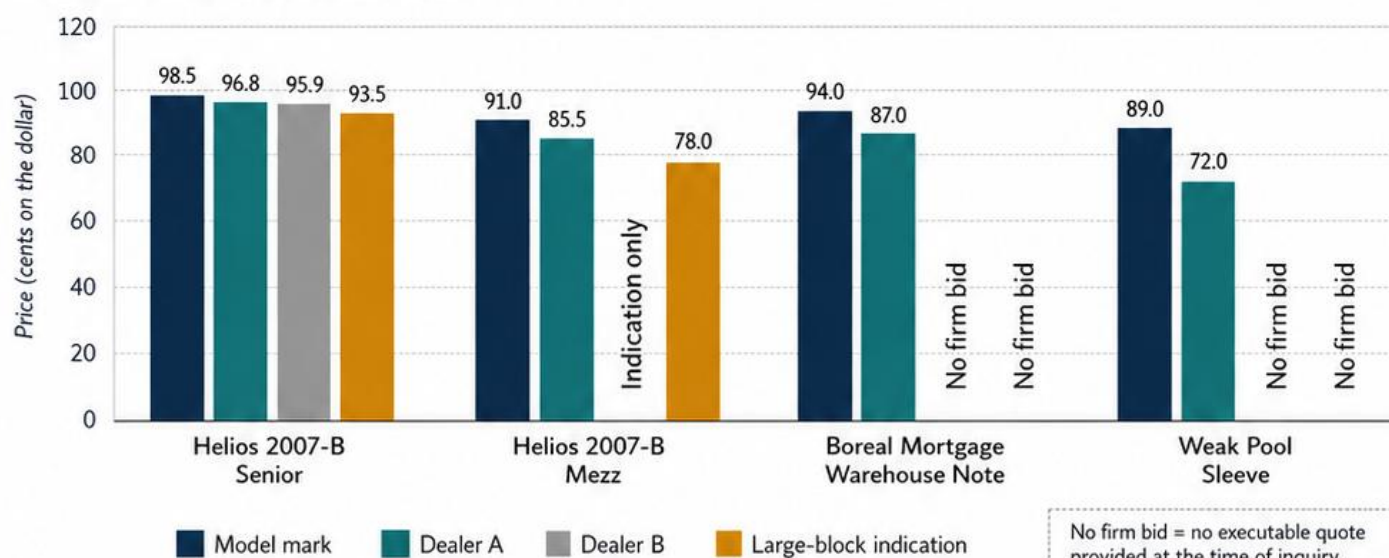
Clean senior collateral still attracts bids, but quote quality depends heavily on trade size, collateral transparency, and seller urgency.



Valuation Note

NAV marks remain defensible for several positions, but liquidation value is increasingly uncertain for larger or weaker positions.

2. Model Marks vs Executable Bids



Market Desk Observation

Not every asset is untradeable. The main issue is widening dispersion between model value and executable liquidity, especially in weaker pools and larger blocks.

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Supplemental execution and valuation review

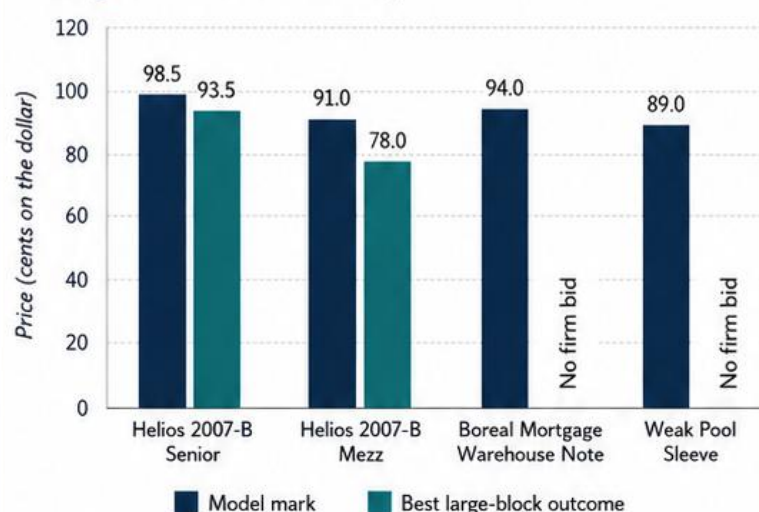
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3. Execution Quality by Position

Position	Collateral transparency	<\$10m	\$10m–\$25m	Large block	Key risk
Helios 2007-B Senior	High	Firm bid	Negotiated bid	Discounted but saleable	Trade-size sensitivity
Helios 2007-B Mezz	Medium	Selective bid	Wider discount	Thin liquidity	Discount widening
Boreal Mortgage Warehouse Note	Medium-low	Limited	No firm bid	No firm bid	Dealer balance-sheet concern
Weak Pool Sleeve	Low	Limited	No firm bid	No firm bid	Opaque collateral

Execution quality deteriorates materially as size increases and collateral becomes harder to evaluate.

4. Large-block Indication Gap



No firm bid = no executable quote provided at the time of inquiry.



Desk Color

- Clean senior collateral still clears, but usually below model marks.
- Mezzanine and weaker structures face wider discounts and less reliable price discovery.
- Large or urgent sales can move positions from indicative pricing to no firm bid.



Valuation Lens

Model marks may remain defensible for NAV purposes, but executable bids are increasingly the better guide to liquidation risk.

5. Position Review Summary

Helios 2007-B Senior



Best execution profile in the set; still liquid in smaller size.

Helios 2007-B Mezz



Tradable, but discount widening makes scaling difficult.

Boreal Mortgage Warehouse Note



Model value still visible, but dealer balance-sheet appetite is fading.

Weak Pool Sleeve



Collateral opacity is driving the sharpest loss of executable liquidity.



Market Desk Conclusion

Quote quality depends heavily on trade size, collateral transparency, and seller urgency. Controlled risk reduction is more defensible than either adding risk or assuming model marks equal cash.